

PRACTICE LETTER: Dispatch from Brussels—Russia's hybrid war and China's overcapacity challenge

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Practice Letter

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Dispatch from Brussels—Russia's hybrid war and China's overcapacity challenge

This is the latest in a series of periodic letters to clients in which Eurasia Group's practices present their views on forthcoming political and macro developments for their regions or sectors.

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Dear clients,

The EU's challenging geopolitical dynamics with Russia and China continue to dominate policy discussions in Brussels, as I argued in August (see practice letter: Russia and China escalation risks to dominate European politics this fall , 26 August 2026). In Brussels this week, senior EU officials I met with focused on two priorities: Russia's hybrid war and Chinese overcapacity.

What happens if Russia's hybrid attacks result in mass civilian casualties in the EU?

Eurasia Group has argued for some time that Russian President Vladimir Putin's political incentives point toward escalation against both Ukraine and NATO for the foreseeable future. Ukraine's vulnerabilities—a shortage of Patriot interceptors and long-range missiles, as well as a large funding gap in 2027—coupled with a European electoral super-cycle, with ten member states set to hold elections in 2027, all suggest that the tide is highly unlikely to turn against Putin in any fundamental way.

Russia's increasing tolerance for risk, however, is prompting discussions within the EU about how it would respond if a hybrid attack caused civilian deaths. Some senior EU officials describe the likelihood of this as almost inevitable. In her state of the union speech on 16 September, European Commission President Ursula von der Leyen signaled that the EU is preparing a response through a new National Security Strategy.

The EU's concern is that Putin's actions will remain below the threshold needed to trigger NATO's Article 5 collective defense guarantee. Yet NATO's Article 4 consultation mechanism, which can be invoked if a member of the alliance believes its territorial integrity or security has been threatened, is little more than a forum for discussion.

Senior EU officials, therefore, believe the EU has a role to play in bridging the gap between a largely symbolic Article 4 response and an all-out Article 5 response, using EU tools that could better manage these hybrid risks while also deterring future escalation. They believe the EU could leverage sanctions,

military mobility—the ability to move troops, weapons, ammunition, and military equipment at scale across the EU—and response teams deployed in the wake of hybrid attacks. Under a proposal now referred to as the “emergency protocol,” the European Commission and the European External Action Service would convene heads of state to decide what actions to take from a pre-defined menu of options. As one senior EU official says: “If Putin saw an emergency meeting in Brussels with an immediate package of measures, that would be a more robust signal than an unorganized discussion that goes in five different directions.”

A complement to NATO

While these proposals would be designed to complement NATO, they also have the benefit of removing the need to consider how President Donald Trump might respond as the EU faces growing hybrid threats. Another senior EU official continues: “This is not competition with NATO but a division of labor. If there is a serious escalation, it will end up with NATO, so they have an incentive to help us get this right.”

Senior NATO sources distinguish among three hybrid threats confronting the alliance. The first is drone incursions into NATO territory. Officials largely view these incidents as unintentional Russian actions, driven by the sheer scale of drone and jamming activity by both Russian and Ukrainian forces. The second is a set of “genuine hybrid activities” orchestrated by Russia’s military-intelligence GRU. These include sabotage, assassinations, and the recent incident at Leipzig airport; their primary goal is to disrupt the supply of weapons to Ukraine. The third is a more direct intervention by Russia—“little green men”—closer to actual armed aggression. The risk of this last type of scenario is seen as low.

In response, NATO is working to ensure alliance members are strengthening all administrative layers of the state, including local government, the police, and the private sector, so they can better detect and respond to hybrid attacks. A concerted effort is also underway to attribute the attacks to Russia more quickly—to raise the political cost for Putin. This, however, is not always easy, as it involves NATO members sharing proof, which can often involve intelligence-sharing, including details of sources. NATO members are also working to strengthen the resilience of their critical infrastructure.

Senior NATO sources say that the alliance is back-channeling a strong message to Russia—namely, that as Russia raises the risks to NATO members, the risks for Russia are increasing as well. As in the EU context, the responses could include more sanctions, the seizure and use of Russia’s frozen assets (where detailed policy work is quietly progressing so Belgium’s opposition can be overcome when the time is right), as well as a range of covert options. As one senior NATO source says: “Our message to Russia is clear: You won’t deter us in supporting Ukraine.”

Multiple senior NATO sources also confirmed that, in the event of a worst-case-scenario kinetic attack, EU capitals and US military planners—both in NATO and Washington DC—are brainstorming a collective response. “The US military is super engaged, thinking smartly and intelligently about how to both avoid and respond to this scenario, and there is no steer from Washington to suggest this is bad.”

The EU’s response to hybrid attacks is only one part of the National Security Strategy. Other possible ideas include an instrument to allow the EU to scale up and collectively purchase critical raw materials, as well as measures to reduce defense-industrial fragmentation across the single market, building on efforts such as the Security Action for Europe loan facility. The strategy may also propose a sanctions office to improve sanctions monitoring and enforcement, a European Security Council, and a broader effort to integrate security considerations across all EU policy areas.

The European Commission is now likely to propose a strategy paper, followed by a roadmap, in October. It will then discuss the plan with NATO and EU member states. But given the audacity of Russia's attacks, officials are hoping to put new procedures in place by year-end at the latest. With Russian escalation a given, the only question is how credibly the EU responds. The new strategy is the bloc's first attempt to ensure its reply is not inadequate.

Managed confrontation with China remains the basecase

The EU's other major external challenge is China, which will be a top agenda item when EU leaders gather in Brussels on 15-16 October. Eurasia Group has argued that managed confrontation is the basecase through year-end. After discussions with senior EU officials, that view holds.

European Trade Commissioner Maros Sefcovic is currently negotiating with Wang Wentao, China's minister of commerce. The talks cover four main areas: export moderation, market access, export controls and restrictions, and intellectual property rights. All four serve one European objective: trade rebalancing. While the EU has historically focused on selling more to China, Sefcovic is now focused much more on pushing Beijing to export less to the EU.

Senior EU officials expect Sefcovic to return with a negotiated outcome. They expect Beijing to offer limited concessions on export constraints, along with some incremental opening of the Chinese market. Von der Leyen will then report to leaders on what dialogue with Beijing has delivered and what steps she recommends beyond dialogue, if any.

Tactically, EU officials believe China is likely to deliver small but important concessions that are good enough for some EU capitals but don't go far enough for others. Beijing's goal would be to divide the union and tempt some member states into subsequent rounds of negotiation. Officials in Brussels want to prevent that outcome. As one official involved in the preparations says: "We want a double result—what we have achieved through negotiations and what else we need to do. What we don't want is to get locked up in a process with China; we want to retain the political space to take additional measures." Another senior EU official concurs: "We need to ensure there is enough oxygen in the room to enable us to do more. We need buy-in and a mandate from EU leaders to go further."

Further protective measures against China likely

It is highly likely that the EU will take further protective measures against China using its conventional trade defense tools for a couple of reasons. First, Germany's position on China continues to grow more hawkish and converge with the much harder-line view in Paris. Second, limits on some Chinese exports, in the EU's eyes, would address symptoms rather than the underlying problem: China's economic model, which lacks profit-and-loss incentives and relies on non-market policies, subsidies, and an undervalued exchange rate.

At the European Council, EU leaders are unlikely to announce new measures against China. They are more likely to give the European Commission a mandate to act, as well as guidance on how much escalation it can pursue for now.

For the moment, officials expect the EU to rely on safeguard measures rather than anti-dumping or countervailing duties. That approach would allow the EU to act more quickly, based solely on China's import surge; the commission would not have to demonstrate injury. A so-called import surveillance report, which the commission will publish ahead of the 15-16 October meeting, will show which sectors are suffering most from the uptick in Chinese exports. That report should provide a good guide to where additional safeguards are likely. However, the sectors in Brussels' sights are the obvious ones—autos,

chemicals, machinery, and wind power.

Interestingly, the debate on new instruments is becoming more contentious within the EU.

Paris and Berlin favor developing a new tool, sometimes described as an “EU 301,” that would allow the bloc to be more strategic and systemic in how it limits Chinese overcapacity. The idea is to close off entire sectors of the single market to unfair Chinese competition, rather than narrowly targeting specific goods as the EU does now. However, the commission worries that such a tool would weaken the existing toolkit and trigger two or three more years of internal debate over its design. Work is continuing on a separate “diversification” tool to incentivize European corporates to shift their supply chains away from China and accelerate de-risking. Yet that proposal is different from the more aggressive EU 301 concept.

Happy to discuss,

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